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Retail Research	IPO Note
Sector: Hospitality	Price Band (Rs): 147 - 155
5th February 2024	Recommendation: *SUBSCRIBE*

Apeejay Surrendra Park Hotels Limited

Company Overview:

Apeejay Surrendra Park Hotels Limited owns several hotel brands in India, including THE PARK, THE PARK Collection, Zone by The Park, Zone Connect by The Park and Stop by Zone. According to Horwath HTL report as of Sep'23, the company is the eighth largest hotel chain in India in terms of chain affiliated hotel rooms inventory. The company have about 2,298 keys, out of which 1,101 keys are owned (48%), 1,108 are managed (44%) and 179 are leased (8%). In addition to hotels, it also has a retail food and beverage brand called Flurys. The company has been in the hospitality business for over 55 years and are the pioneers of luxury boutique hotels in India.

Key Highlights:

1. Diversified Business Model:

(a) The company operates 30 hotels across 20 cities, in which 7 hotels are owned by the company, 3 hotels are operated on lease basis and 20 hotel are being managed through operation and management contracts.

(b) The company operates 81 restaurants, night clubs and bars, offering a wide selection of culinary experiences. The night club and entertainment division contribute to the brand positioning and allows cross-selling opportunities. The company has created award-winning brands such as **Zen, Someplace Else, Tantra, Roxy, iBar, The Leather Bar, Pasha and Aqua.**

(c) The company runs a successful premium food and beverage retail chain called **Flurys** with 73 outlets across India. Flurys had the second-highest EBITDA margin of 17.2% in FY23 among identified players. The company aims to expand its presence in the retail food and beverage industry by leveraging expertise in the hospitality industry.

2. Increasing revenue contribution from F&B business: Revenue from food, beverage, wine, and liquor sales totalled Rs 114.7 cr, Rs 104.0 cr, Rs 228.0 cr, Rs 112.7 cr and Rs 79.8 cr, accounting for 42.1%, 43.6%, 43.5, 42.1% and 42.0% of the total income for the 1HFY24 and 1HFY23 and for the years ended FY23, FY22, FY21 respectively. These figures demonstrate the success of its food, beverage and entertainment offerings. Non-cyclical earnings from food and beverage help to diversify risk in the hospitality industry and complement the hotel business. Food and beverage contribution to total revenue for FY21-FY23 is higher than the average for select listed companies.

3. Higher Occupancy Rate: The hotel properties has a strong track record of high occupancy rates, competitive room rates and RevPAR. The company has achieved an occupancy level of 67.3%, 79.1%, 91.8% and 93.3% during the FY21, FY22, FY23 and 1HFY24 respectively. The revenue and customer management system allows to centrally manage all of the hotels and maximize occupancy rates.

Valuation: The company is valued at FY23 PE and EV/EBITDA multiple of 68.8x and 24.3x respectively, at the uper price band on post-issue capital. The company plans to add more ~800 rooms in the next 5 years which will add to the topline. The company's RevPAR/ARR has increased to Rs 5,571/6,071 in FY23 from Rs 3,009/3,804 in FY22. The company has shown strong growth in FY23 via improving profitability along with operational efficiencies. It plans to reduce its debt substantially from IPO proceeds which will turn the business net debt free. We recommend investors to *SUBSCRIBE* to the issue.

Issue Details	
Date of Opening	5th February 2024
Date of Closing	7th February 2024
Price Band (Rs)	147 – 155
OFS (Rs cr)	320
Fresh Issue (Rs cr)	600
Issue Size (Rs cr)	920
No. of shares	6,25,85,034 – 5,93,54,839
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	3,168 – 3,307
BRLMs	JM Financial Limited, Axis Capital Limited, ICICI Securities Limited
Registrar	Link Intime India Private Limited
Bid Lot	96 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%
Employee Reservation	Equity shares aggregating up to Rs 10 cr

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment/ prepayment, in full or in part of certain outstanding borrowings availed by our Company	550
General corporate purposes*	-
Total	-

^ To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	16,44,99,760	94.2
Public & Others	1,01,62,000	5.8
Total	**17,46,61,760**	**100.0**

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	14,43,63,706	67.0
Public & Others	7,11,14,381	33.0
Total	**21,54,78,087**	**100.0**

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	14,54,02,986	68.1
Public & Others	6,79,68,452	31.9
Total	**21,33,71,437**	**100.0**

Source: RHP, SSL Research

Key Financials

Particulars	FY21	FY22	FY23	1HFY24
Revenue from operation (Rs cr)	179	255	506	264
EBITDA (Rs cr)	11	45	159	83
Adj. PAT (Rs cr)	(61)	(28)	48	23
EBITDA Margin (%)	6.4	17.8	31.4	31.4
Adj. PAT Margin (%)	-	-	9.5	8.7
Adj. EPS	-	-	2.8	1.3*
ROE (%)	(11.3)	(5,5)	8.7	4.0*
ROCE (%)	(1.3)	1.6	11.4	5.7*
Total Debt / Equity	1.1	1.2	1.0	1.0*

**** Not Annualized***

Source: RHP, SSL Research

Risk Factors

- **Delay in construction :** The company is exposed to risks associated with the delay in development of the hotel properties and land banks. Any delay in the construction of new hotel buildings or expansion of the existing properties may have an adverse effect on the business, results of operations, financial condition and cash flows.
- **EM bypass:** The company is exposed to risks associated with the construction and development of serviced apartments at EM bypass, which is a one-off project of the company and of which it has no prior experience.
- **Compliance:** The company was not in compliance with certain covenants under certain of the financing agreements in the past and had delays in repayment of certain long-term rupee loans and working capital loans. In case of any breach of covenants or delay in repayment of facilities in the future, such non-compliance, if not waived, could adversely affect the business, results of operations, cash flows, and financial condition.
- **Revenue concentration:** About half of its hotel bookings and revenue for FY23 come from online travel agents and intermediaries. If these intermediaries continue to gain market share, they may demand higher commissions or reduced room rates, which could negatively impact the business and margins.

Growth Strategy

- Continued focus on the development of existing land banks and strategic asllocation of capital.
- Improving operational efficiency to achieve superior performance.
- Further develop and strengthen the 'Flurys' brand in the retail food and beverage business through expansion Plans.
- Optimise capital efficiency by adopting its asset-light model with an optimal portfolio of owned, leased and managed hotels and to further strengthen, develop and expand its existing brands.

Key Operating and Financial Metrics

Particulars	FY21	FY22	FY23	1HFY23	1HFY24
Average Occupancy Rate (%)*	67	79	92	92	93
RevPAR (Rs)**	2,187	3,009	5,571	4,980	5,653
Average Room Revenue (Rs)^	3,251	3,804	6,071	5,419	6,059
No of Hotels^^	17	21	25	22	27
Inventory (No. of Operating rooms)*^	1,612	1,865	2,009	1,890	2,123
Inventory growth *^*	NA	16	8	7	12

**** Average Occupancy is calculated as the total rooms occupied (less number of rooms for complimentary and in-house usage) in a relevant period/year divided by the total available rooms (less number of rooms which were out of order) in the same relevant period/year.***

***** RevPAR is calculated as Average Room Revenue for a relevant period multiplied by Average Occupancy Rate for that period.***

^ Average Room Revenue is calculated as total revenue from sale of rooms received for a relevant period divided by the total room occupied.

^^ No of Hotels are the total number of operational hotels of the relevant period/year.

****^* Inventory is the total number of operational Keys/ rooms in the company's portfolio of hotels for the relevant period.***

Source: RHP, SSL Research

(Rs cr)	FY21	FY22	FY23	1HFY23	1HFY24
Total income	190	268	524	238	272
Revenue from contracts with customers	179	255	506	226	264
Room revenue (A)	**90**	**128**	**251**	**110**	**132**
Room revenue to total income (%)	*47.1*	*47.9*	*47.9*	*46.1*	*48.5*
Sale of food, and beverage (B)	49	75	140	61	72
Sale of food, and beverage to total Income (%)	*25.7*	*27.9*	*26.8*	*25.8*	*26.6*
Sale of wine and liquor (C)	31	38	88	43	42
Sale of wine and liquor to total income (%)	*16.2*	*14.2*	*16.7*	*17.8*	*15.6*
Sale of food, and beverage, together with sale of wine and liquor (D=B+C)	**80**	**113**	**228**	**104**	**115**
Sale of food, and beverage, together with sale of wine and liquor to total income (%)	*41.9*	*42.1*	*43.5*	*43.6*	*42.1*
Ratio of room revenue to sale of food, and beverage, together with sale of wine and liquor (A/D)	**1.12**	**1.14**	**1.10**	**1.06**	**1.15**
Rooms Occupied (in no.) ***(E)***	2,75,462	3,37,016	4,14,041	2,02,915	2,18,003
Food, Beverage, Wine and Liquor revenue per occupied room (D/E) (Rs)	**2,897**	**3,343**	**5,507**	**5,125**	**5,250**
Average room revenue (Rs)	**3,251**	**3,804**	**6,071**	**5,419**	**6,059**

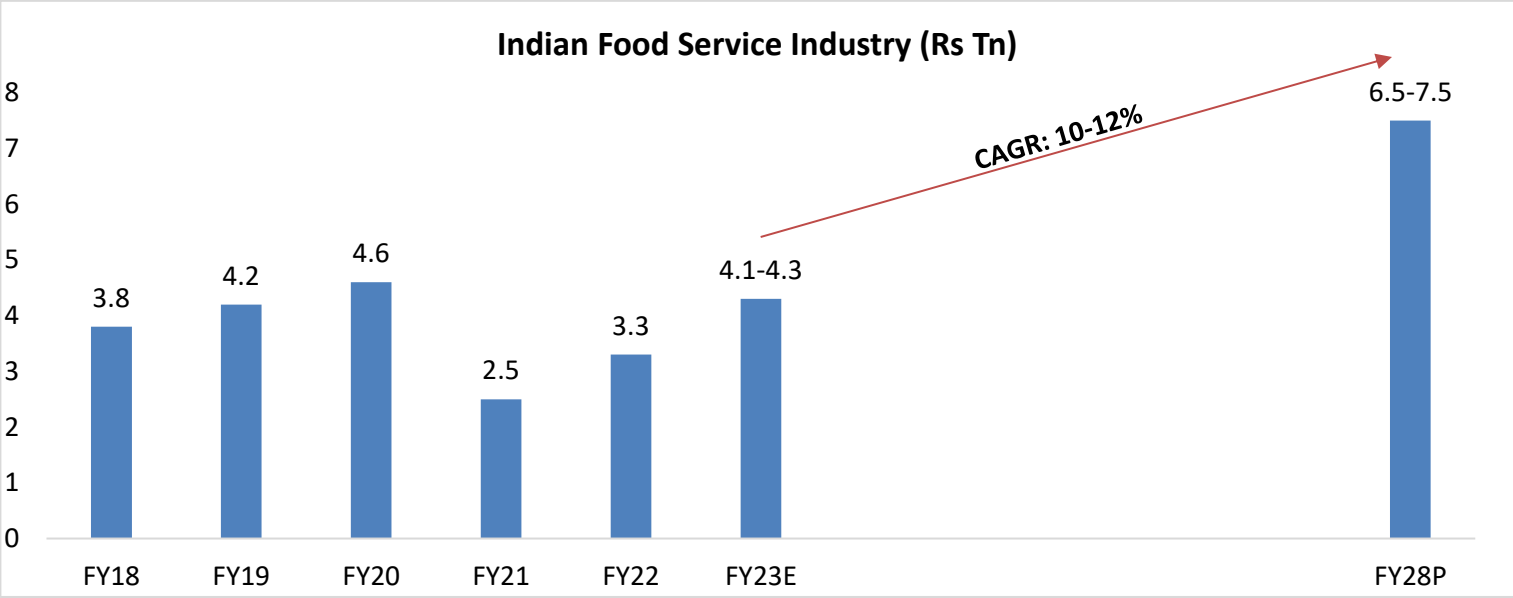
Note: Food and beverage and wine and liquor revenue per occupied room is calculated as total revenue from sale of food, and beverage, together sale of wine and liquor for a relevant period divided by the total rooms occupied for that relevant period.

Source: RHP, SSL Research

Industry Overview

Domestic restaurant services industry estimated to grow at 10-12% CAGR till FY28P

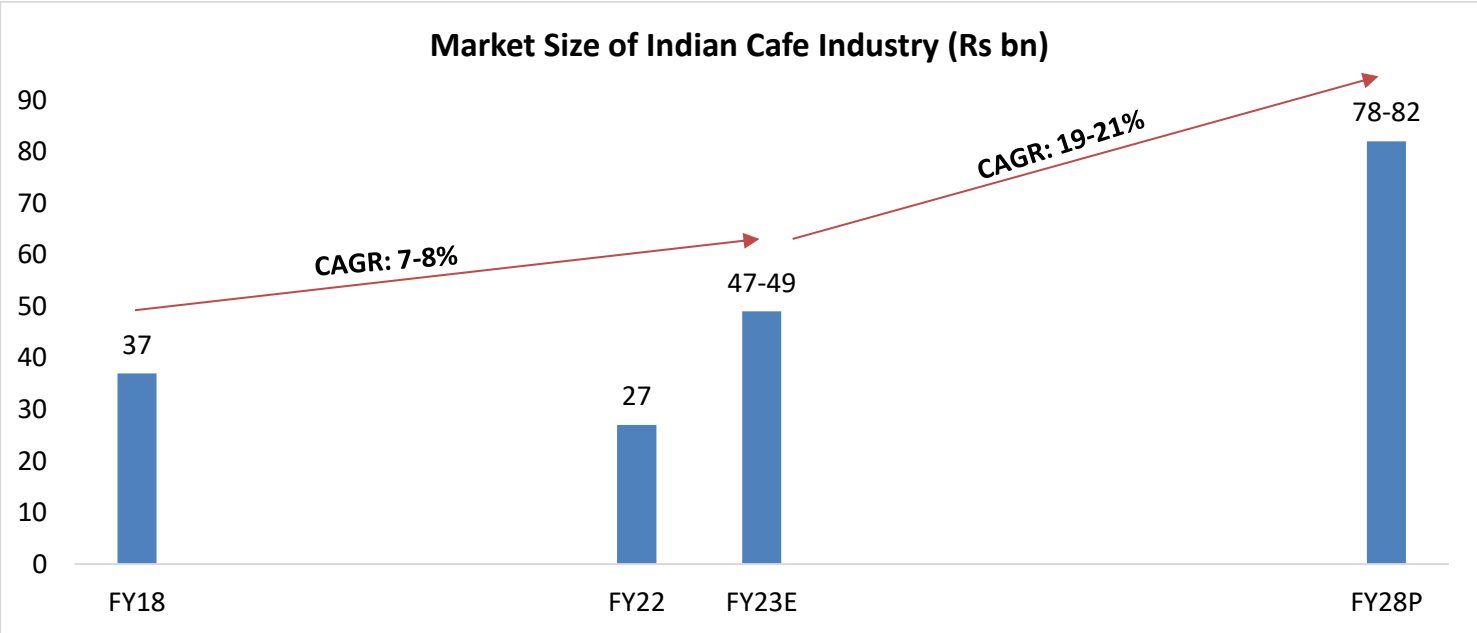
The Indian food services industry was valued at Rs 4.6 tn in FY20, driven by rising disposable income and food-ordering platforms. The pandemic led to a dip in FY21, but the industry is estimated to grow 25-30% YoY to Rs 4.1 to 4.3 tn in FY23E. The trend of higher consumption is expected to continue, with millennials driving growth. Revenue is expected to grow at a 10-12% CAGR to Rs 6.5-7.5 tn by FY28P.



Source: RHP, SSL Research

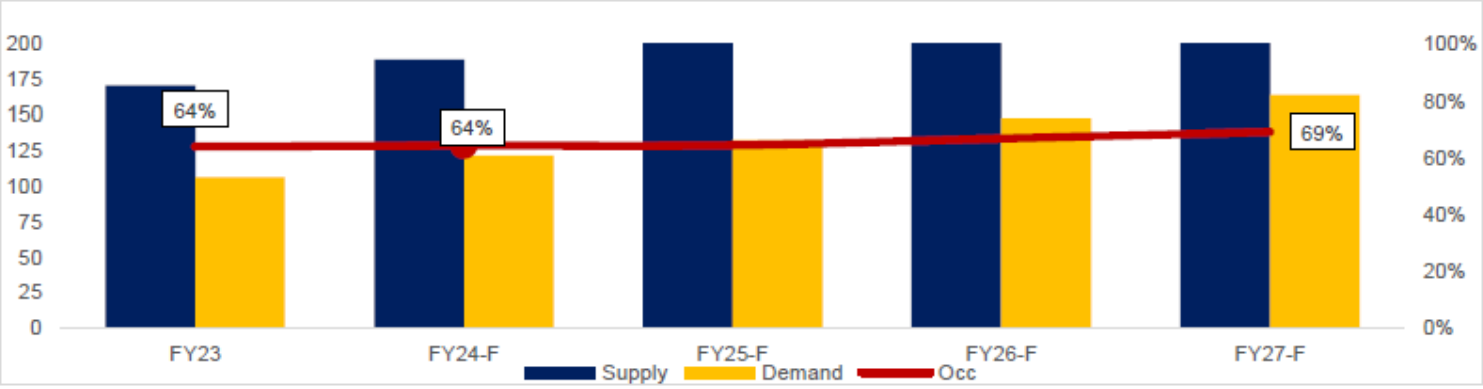
Indian café chain space to grow at healthy pace up to fiscal 2028

The Indian café market recovered to pre-covid-19 levels in FY23 following subsiding of infections and consumers once again eating out, and several corporates restarting offices, among other tailwinds. Between FY23E and FY28P, the Indian café market is expected to grow at 19-21% CAGR, reaching Rs 78-82 bn on continued healthy demand owing to increase in disposable incomes, favourable demographics, rising aspirations of the middle class, penetration into newer markets by organised players, increasing focus on health and wellness and technological advancements offering convenience.



Source: RHP, SSL Research

All India – Rooms Supply vs Demand and Occupancy Estimates – (FY23–FY27)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	**179**	**255**	**506**
YoY growth (%)	-	42.6	98.5
Cost Of Revenues (incl Stock Adj)	27	35	69
Gross Profit	**152**	**220**	**438**
Gross margins (%)	**84.9**	**86.1**	**86.4**
Employee Cost	55	64	100
Other Operating Expenses	85	110	179
EBITDA	**11**	**45**	**159**
EBITDA margins (%)	**6.4**	**17.8**	**31.4**
Other Income	11	13	18
Net Interest Exp.	57	60	62
Depreciation	38	40	49
Exceptional Items	-15	0	0
PBT	**-87**	**-42**	**65**
Tax	-11	-14	17
Adj PAT	**-61**	**-28**	**48**
Adj. PAT margin (%)	**-33.9**	**-11.0**	**9.5**
Adj. EPS	**-3.5**	**-1.6**	**2.8**

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	843	825	819
Capital WIP	27	29	35
Intangible Assets under development	150	153	169
Other Non current Assets	202	201	247
Current Assets			
Inventories	10	10	13
Trade receivables	20	19	26
Cash and Bank Balances	10	9	17
Other Current Assets	18	28	36
Total Current Assets	**58**	**67**	**93**
Current Liabilities & Provisions			
Trade payables	50	44	57
Other current liabilities	29	33	83
Short-term provisions	11	13	17
Total Current Liabilities	**91**	**91**	**157**
Net Current Assets	**-33**	**-24**	**-64**
Total Assets	**1,189**	**1,184**	**1,205**
Liabilities			
Share Capital	17	17	17
Reserves and Surplus	519	491	538
Total Shareholders Funds	**536**	**509**	**556**
Total Debt	593	623	567
Long Term Provisions	8	7	7
Other Long Term Liabilities	20	26	44
Net Deffered Tax Liability	32	19	32
Total Liabilities	**1,189**	**1,184**	**1,205**

(Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	27	58	176
Cash flow from Investing Activities	-25	-22	-42
Cash flow from Financing Activities	-5	-37	-126
Free Cash Flow	-15	31	134

	RATIOS		
	FY21	**FY22**	**FY23**
Profitability			
Return on Assets (%)	(4.7)	(2.2)	3.5
Return on Capital (%)	(1.3)	1.6	11.4
Return on Equity (%)	(11.3)	(5.5)	8.7
Margin Analysis			
Gross Margin (%)	84.9	86.1	86.4
EBITDA Margin (%)	6.4	17.8	31.4
Net Income Margin (%)	(33.9)	(11.0)	9.5
Short-Term Liquidity			
Current Ratio (x)	0.3	0.3	0.4
Quick Ratio (x)	0.2	0.2	0.4
Avg. Days Sales Outstanding	40	27	19
Avg. Days Inventory Outstanding	20	14	10
Avg. Days Payables	103	64	41
Fixed asset turnover (x)	0.2	0.3	0.6
Debt-service coverage (x)	0.0	0.1	0.3
Long-Term Solvency			
Total Debt / Equity (x)	1.1x	1.2x	1.0
Interest Coverage Ratio (x)	(0.3x)	0.3x	2.1
Valuation Ratios			
EV/EBITDA (x)	289.0	73.0	20.5
P/E (x)	(44.6)	(96.4)	56.3
P/B (x)	5.0	5.3	4.9

Peer Comparison

	Apeejay Surrendra Park Hotels Ltd	Chalet Hotels Ltd	Lemon Tree Hotels Ltd	Indian Hotels Company Ltd	EIH Ltd
CMP	155.0	787.0	142.0	500.0	339.0
Sales (Rs cr)	929.3	1,128.0	875.0	5,810.0	2,019.0
EBITDA (Rs cr)	158.8	453.0	448.0	1,805.0	599.0
Net Profit (Rs cr)	48.1	183.0	141.0	1,053.0	329.0
M.Cap (Rs cr)	3,307.3	15,640.0	10,996.0	70,396.0	20,468.0
Enterprise Value (Rs cr)	3,856.9	18,520.0	13,330.0	72,163.0	20,222.0
EBITDA Margin (%)	17.1	40.2	51.2	31.1	29.7
Net Margin (%)	5.2	16.2	16.1	18.1	16.3
PE (x)	68.8	85.5	78.0	66.9	62.2
EV/EBITDA (x)	24.3	40.9	29.8	40.0	33.8
RoE (%)	8.7	10.9	13.6	12.7	11.4
RoCE (%)	11.4	9.2	10.1	12.6	15.6

The data is based on FY23 financial data.

For Apeejay Surrendra Park Hotels Limited the Market cap, PE(x), and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 02nd February 2024.

Source: RHP, SSL Research

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